# Cedarfield Systems Holdings, Inc. (EASS) - Form 10-K

FY2025

## Cedarfield Systems Holdings, Inc.

**Form 10-K for the Fiscal Year Ended 2025**

Ticker: EASS | Sector: Materials | HQ: Colorado

> **NOTE:** This is a synthetic filing generated for a RAG-evaluation benchmark dataset. Cedarfield Systems Holdings, Inc. is a fictional company; it does not exist. Every figure below is internally consistent and traceable to this project's computed financial statements, but nothing here describes a real company, and it should not be treated as an actual SEC filing.

# Item 1. Business

Introduction

Cedarfield Systems Holdings, Inc. ("Cedarfield," "we," "our," or "us") is a manufacturer of metal, glass, and plastic packaging and containers, headquartered in Colorado. We supply packaging products primarily to beverage, food, and other consumer-products end markets, operating a network of manufacturing facilities that produce containers for our customers' filling and distribution operations.

For the fiscal year ended in 2025, we generated net revenue of $16,028.3 million. Our balance sheet reflects a history of acquisitions within the packaging industry: goodwill and acquired intangible assets together represented approximately 28.1% of our total assets as of fiscal year end.

Products and Operations

We manufacture containers and packaging products designed to customer and industry specifications, supplying beverage, food, and other consumer-products companies that fill and distribute our containers under their own brands. Our manufacturing operations are capital-intensive and require ongoing investment in equipment and facilities to maintain production capacity and efficiency.

Recent Acquisition

During fiscal 2025, we completed the acquisition of Thornridge Packaging Corp., a packaging manufacturer, to expand our manufacturing capacity and customer relationships in adjacent packaging end markets. Thornridge is substantially integrated into our existing operations as of fiscal year end.

Raw Materials

Our manufacturing operations depend on aluminum, steel, glass, and plastic resin as primary raw material inputs, the costs of which can be volatile. We generally seek to manage raw material cost exposure through supplier relationships and, where available, pass-through pricing arrangements with customers, though we remain exposed to the timing and extent of raw material cost changes.

Competition

The packaging industry is competitive, and we compete with other metal, glass, and plastic container manufacturers, as well as with alternative packaging formats. We believe the principal competitive factors in our industry are product quality and consistency, manufacturing efficiency, customer service, and price.

Human Capital

We employ a workforce across our manufacturing facilities and corporate support functions. We focus on workplace safety, competitive compensation and benefits, and training programs to support our manufacturing workforce.

## Item 1A. Risk Factors

Risks Related to Our Business and Industry

Our results depend on the cost of raw materials, which can be volatile. Our manufacturing operations depend on aluminum, steel, glass, and plastic resin as primary inputs. A sustained increase in these raw material costs that we are unable to pass through to customers could compress our margins and adversely affect our results of operations.

Our manufacturing operations are capital-intensive, and disruptions to our facilities could adversely affect our ability to meet customer demand. Unplanned downtime, equipment failures, or other operational disruptions at our manufacturing facilities could reduce our production capacity and adversely affect our relationships with customers who depend on reliable, timely supply of containers.

We depend on a limited number of large customers in the beverage and food industries, and the loss of, or reduced demand from, a significant customer could adversely affect our results. Consolidation among our beverage and food customers could also increase their negotiating leverage over pricing and contract terms.

Risks Related to Our Financial Position

A significant impairment of our goodwill or intangible assets could adversely affect our results of operations. Goodwill and acquired intangible assets together represented approximately 28.1% of our total assets as of fiscal year end. We test these assets for impairment at least annually, and a deterioration in the performance or outlook of one or more of our reporting units could require us to recognize a material non-cash impairment charge.

Our level of liabilities relative to our total assets could limit our financial flexibility. As of fiscal year end, our total liabilities represented approximately 70.7% of our total assets. This level of liabilities could reduce the cash available for operating needs, capital expenditures, or shareholder returns in a prolonged downturn.

Risks Related to Acquisitions

We may not realize the anticipated benefits of our acquisition of Thornridge Packaging Corp. completed during fiscal 2025. Integrating an acquired business involves numerous risks, including the diversion of management attention, the potential loss of key customers or employees of the acquired business, and the possibility that anticipated synergies in manufacturing capacity or customer relationships are not realized on the timeline we expect or at all. If we are unable to successfully integrate Thornridge's operations, our results of operations could be adversely affected.

Risks Related to Competition

We face competition from other metal, glass, and plastic container manufacturers, as well as from alternative packaging formats that customers could shift toward. If we are unable to compete effectively on quality, efficiency, service, or price, our revenue and margins could decline.

Risks Related to Cybersecurity and Information Technology

Our manufacturing and business operations depend on information technology systems, including systems that support production planning, supply chain management, and customer orders. As described in Item 1C, "Cybersecurity," while we have not experienced a material cybersecurity incident to date, a future incident affecting our systems or those of our third-party service providers could disrupt our manufacturing operations, compromise sensitive data, and result in remediation costs, litigation, or reputational harm.

General Risk Factors

Our quarterly and annual results may fluctuate due to factors including the timing of raw material cost changes, seasonal demand patterns among our beverage and food customers, and the timing of capital expenditure programs.

## Item 1C. Cybersecurity

Cybersecurity Program

We maintain a cybersecurity risk management program informed by ISO/IEC 27001, designed to identify, assess, and manage risks from cybersecurity threats to our information systems, including the systems that support our manufacturing, supply chain, and customer order operations.

Our program includes recurring risk assessments, vulnerability scanning and penetration testing, employee security-awareness training, and a formal incident response plan that sets out procedures for identifying, escalating, containing, and remediating cybersecurity incidents. Because our manufacturing operations depend in part on third-party suppliers and service providers, our vendor management process includes an assessment of those providers' security practices before and during the engagement. We maintain cybersecurity insurance that may offset a portion of the costs associated with certain incidents.

Cybersecurity Risks

We have not experienced a material cybersecurity incident to date. However, a future incident affecting our manufacturing, supply chain, or customer order systems, or those of our third-party service providers, could disrupt our production operations, compromise sensitive data, and result in remediation costs, litigation, or reputational harm. See Item 1A, "Risk Factors," for additional discussion of cybersecurity-related risks.

Governance

Our full Board of Directors, with support from the Audit Committee, oversees our cybersecurity risk management program. Management provides the Board and the Audit Committee with periodic updates on our cybersecurity program, including the results of risk assessments, the status of our security initiatives, and the threat landscape we face across our manufacturing operations.

## Item 7. Management's Discussion and Analysis of Financial Condition and Results of Operations

Overview

Cedarfield Systems Holdings, Inc. is a manufacturer of metal, glass, and plastic packaging and containers. For the fiscal year ended in 2025, we generated net revenue of $16,028.3 million, pretax income of $1,311.9 million (a pretax margin of 8.2%), and net income of $1,036.4 million (a net margin of 6.5%). During the year, we completed the acquisition of Thornridge Packaging Corp. to expand our manufacturing capacity and customer relationships in adjacent packaging end markets.

Results of Operations

The following table summarizes our results of operations for the fiscal year ended in 2025 (in millions, except percentages; amounts may not sum due to rounding):

| Line item | Amount | % of total |
|---|---|---|
| Net revenue | $16,028.3 | 100.0% |
| Selling, general and administrative expenses | 719.9 | 4.5% |
| Cost of sales and other operating costs | 13,996.5 | 87.3% |
| Pretax income | 1,311.9 | 8.2% |
| Income tax expense | 275.5 | 1.7% |
| Net income | 1,036.4 | 6.5% |

Cost of sales and other operating costs, which include the cost of raw materials, manufacturing, and other operating costs that are not separately broken out above, represented approximately 87.3% of net revenue, consistent with the capital-intensive, input-cost-sensitive nature of packaging manufacturing. Our effective tax rate for the year was 21.0%, consistent with the U.S. federal statutory rate.

Liquidity and Capital Resources

We generated $1,381.7 million of cash from operating activities during fiscal 2025, reflecting net income of $1,036.4 million and non-cash depreciation and amortization of $782.3 million, partly offset by an unfavorable change in working capital and other items of $437.0 million. We used $770.0 million of cash in investing activities, including capital expenditures of $520.3 million and $249.7 million used for the acquisition of Thornridge Packaging Corp. Financing activities used $480.5 million of cash, primarily reflecting $1,719.4 million used for share repurchases, partly offset by other financing inflows. We did not pay dividends during fiscal 2025. Taken together, our cash and cash equivalents increased by $131.2 million during the year.

As of fiscal year end, we had stockholders' equity of $6,885.6 million, equal to approximately 29.3% of total assets, and total debt of $23.1 million. We believe our cash flow from operations will be sufficient to fund our operating needs, capital expenditures, and share repurchase program for at least the next twelve months.

Critical Accounting Estimates

Goodwill and Intangible Assets. We test goodwill and indefinite-lived intangible assets for impairment at least annually. Goodwill and acquired intangible assets together represented approximately 28.1% of our total assets as of fiscal year end, reflecting our acquisition history within the packaging industry; a deterioration in the performance or outlook of one or more of our reporting units could result in a material impairment charge.

Inventory Valuation. Inventory is stated at the lower of cost or market. We make estimates regarding excess or obsolete inventory based on historical experience and current market conditions; actual results could differ from these estimates.

Recent Accounting Pronouncements

See the notes to our consolidated financial statements in Item 8 for a discussion of recently issued accounting pronouncements and their expected effect on our consolidated financial statements.

# Item 8. Financial Statements and Supplementary Data

Report of Management

The accompanying consolidated financial statements present the financial position, results of operations, and cash flows of Cedarfield Systems Holdings, Inc. for the fiscal year ended in 2025. All dollar amounts below tie directly to the figures in this filing's underlying financial data and are presented in millions, except per-share data, unless otherwise noted; amounts may not sum exactly due to rounding.

Consolidated Balance Sheet (in millions)

Assets

| Line item | Amount |
|---|---|
| Cash and cash equivalents | $1,342.8 |
| Accounts receivable, net | 2,181.1 |
| Inventory | 2,263.2 |
| Goodwill | 5,489.2 |
| Intangible assets, net | 1,134.9 |
| Other assets | 11,105.6 |
| Total assets | $23,516.8 |

Liabilities

| Line item | Amount |
|---|---|
| Accounts payable | $5,153.6 |
| Short-term debt | 23.1 |
| Other liabilities | 11,454.5 |
| Total liabilities | $16,631.2 |

Stockholders' Equity

| Line item | Amount |
|---|---|
| Retained earnings | $13,689.0 |
| Accumulated other comprehensive loss | (1,183.8) |
| Other equity | (5,619.6) |
| Total stockholders' equity | $6,885.6 |

| Line item | Amount |
|---|---|
| Total liabilities and stockholders' equity | $23,516.8 |

Consolidated Statement of Income (in millions)

| Line item | Amount |
|---|---|
| Net revenue | $16,028.3 |
| Selling, general and administrative expenses | 719.9 |
| Cost of sales and other operating costs | 13,996.5 |
| Interest expense | — |
| Income before income taxes | 1,311.9 |

| Line item | Amount |
|---|---|
| Income tax expense | 275.5 |
| Net income | $1,036.4 |

Consolidated Statement of Cash Flows (in millions)

Operating activities:

| Line item | Amount |
|---|---|
| Net income | $1,036.4 |
| Depreciation and amortization | 782.3 |
| Changes in working capital and other | (437.0) |
| Cash from operating activities | 1,381.7 |

Investing activities:

| Line item | Amount |
|---|---|
| Capital expenditures | (520.3) |
| Other investing activities | (249.7) |
| Cash used in investing activities | (770.0) |

Financing activities:

| Line item | Amount |
|---|---|
| Share repurchases | (1,719.4) |
| Other financing activities | 1,238.9 |
| Cash used in financing activities | (480.5) |

| Line item | Amount |
|---|---|
| Net increase in cash | $131.2 |

Notes to Consolidated Financial Statements

Note 1. Goodwill and Intangible Assets Goodwill and acquired intangible assets totaled $5,489.2 million and $1,134.9 million, respectively, as of fiscal year end, together representing approximately 28.1% of total assets. We test these assets for impairment at least annually; no impairment was recognized during fiscal 2025.

Note 2. Inventory Inventory, stated at the lower of cost or market, totaled $2,263.2 million as of fiscal year end, representing approximately 9.6% of total assets.

Note 3. Income Taxes Our effective tax rate for fiscal 2025 was 21.0%, consistent with the U.S. federal statutory rate.

Note 4. Commitments and Contingencies We are subject to various claims and legal proceedings arising in the ordinary course of business. We do not believe the resolution of these matters, individually or in the aggregate, will have a material adverse effect on our consolidated financial position or results of operations.

Note 5. Business Combination During fiscal 2025, we acquired Thornridge Packaging Corp. for approximately $249.7 million in cash, reflected within investing activities. The purchase price is reflected within the goodwill and intangible assets balances on our consolidated balance sheet. Thornridge is substantially integrated into our existing operations as of fiscal year end.